

significant reforms in real estate in recent times. It aids not just buyers but also developers as it infuses transparency in the housing sector.

Rapid urbanisation: India is rapidly urbanising with 32 per cent of the population residing in cities. It is estimated that 40 per cent of the population will be living in cities by 2030. Urbanisation, coupled with increased incomes, have resulted in a huge rise in the number of households looking for new homes.

Demographic profile: Unlike the West, people in India do not buy a home when they are in their 20s. The average age of a first-time homebuyer in India is about 38 years and currently, about two-thirds of the population is below 35 years of age.

Hence in the coming years, all these young people will get to an age where they will necessarily have to buy a home. And with the confluence of all the factors mentioned above,

the structural long-term demand for housing and housing finance in India will continue to be very strong for the next 25 years.

In light of the above factors, a few suggestions may be considered for the sustainable growth of the housing sector, as listed below:

Leveraging technology:

Technology has enabled developers to virtually showcase their properties. Similarly, home loan providers, too, have leveraged their digital platforms to continue to serve new and existing customers.

However, digitalisation of the Indian construction industry is still in its infancy. It is estimated that the real estate sector spends less than 1.5 per cent of its revenue on technology. The role of technology and innovation has become extremely important. There are, thus, now tremendous opportunities for property technology or prop-tech companies.

New technologies will play a vital role in creating efficiencies in the real estate sector.

Digital signatures: With Indian consumers increasingly relying on technology for their financial transactions, digital signatures to execute property-related documents could be introduced. It would immensely help the homebuyer to complete a digital end-to-end purchase. Positively, the authorities have released a notification that allows home loans to be brought under the digital documentation category.

ESG: There needs to be an increased focus on ESG, or environment, social and governance. Over the medium-term, most of the incremental funding to real estate developers is inevitably going to have ESG covenants embedded in it.

Mortgage guarantee product: As lenders focus and penetrate more deeply into this segment, I do envisage that the mortgage guarantee products will become an essential component, especially in lending to low-income groups. It is a product whose time has come.

In conclusion, I remain extremely optimistic about India's growth in the years to come. The main reason for my optimism is that India is a strong domestic consumption-based economy and financial penetration levels are so low in India that the scope for businesses to continue growing remains immense.

Similarly, there are several converging factors that will ensure the sustainable growth of the housing and real estate sector. India is fortunate to have a number of visionary policymakers and sensible regulators to ensure that the housing sector moves forward and achieves the next level of growth. **BT**

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